University of Western Ontario
Department of Economics
Economics 9628A
Public Economics

Course Outline

Instructor:
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Office: Social Science Centre 4063
Office hours: By appointment
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Class Time: Tuesday, 12:30-3:30pm

Class Room: SSC 4107

Course Overview: This is a public economics course focusing on my research interests. We will start with the basics and move quickly to current research in local public goods, education reform, and health care (mostly as it is manifested in the US). We will cover both theory and empirical work.

Course Text: There is no definitive text for modern public economics. This course will be based on an extensive reading list that is mostly comprised of articles (see below).

The following may be useful resources, but are not necessary for this course. Topics in the foundations of public economics (the first part of the course) can be found in "Lectures on Public Economics," by Atkinson and Stiglitz, an old but good resource on early material. Volume 4 of the Handbook of Public Economics provide good overviews of research in clubs and the public provision of education and health care. These books will be on course reserve at Weldon Library, and chapters from the Handbook of Public Economics Volume 4 are also available online as articles (see reading list below). Cornes and Sandler also provides a good theoretical overview of the foundations of public economics (ranging from pure public goods to impure public goods).[1]

Course Website: The website will contain a log of what we have discussed and what's on the docket. In particular, this website will indicate which papers are to be read before the next week's class and who is presenting what paper next week.
`http://publish.uwo.ca/~nmehta22/2016_A_9628.html`

Grading:
Presentations and discussions each account for 50% of the course grade.

- Presentation: In most classes, at least one student will do a short presentation of one of the papers we are discussing that day. You may present any of the papers listed below, or any other paper approved by me. We will decide each week which student(s) will present the next

[1] R. Cornes and T. Sandler. The theory of externalities, public goods, and club goods. *Cambridge University Press*, 1996

week. Presenting is an important skill because it requires one to know what the point of a paper is, as well as be familiar with its technical details.

- Discussion: Discussion of material is also an integral part of this course. It is difficult to intelligently discuss a paper without having read it beforehand, so please come to class prepared.
- (Ungraded) Group work: Working with others is an important skill to develop. We may spend time near the end of the semester brainstorming paper proposals, with me as moderator. There will be no compulsion to write the paper(s) you come up with.

Academic Offenses: Scholastic offences are taken seriously and students are directed to read the appropriate policy, specifically, the definition of what constitutes a Scholastic Offence, at the following Web site: `http://www.uwo.ca/univsec/handbook/appeals/scholastic_discipline_grad.pdf` Academic Handbook, Exam, Course Outlines Page 4 Issued: 2011 02

Overview

There are 12 weeks of class and we meet once a week. Here is a tentative overview of our trajectory. See the next sections for more details. Note that the first class (9/13) is cancelled.

1. Foundations of public economics (2 classes) 9/20, 9/27
2. Local public goods (2-3 classes) 10/4, 10/11, 10/18
3. Education reform (4-5 classes) 10/18, 10/25, 11/1, 11/8, 11/15
4. Health insurance and health care (3-4 classes) 11/15, 11/22, 11/29, 12/6

Reading list by topic

Below are articles for each of the topics I plan to cover. There are many more articles than we will be able to cover in class. You are not expected to read all of them, but this list may be useful in case you would like to read more in these areas.

Chetty and Finkelstein [2012] is an overview of how the content of NBER working papers has evolved over the past 30 years.

1 Foundations of public economics

P.A. Samuelson. The pure theory of public expenditure. *The Review of Economics and Statistics*, 36(4):387–389, 1954

E. Lindahl. Just taxation – a positive solution. *Classics in the theory of public finance*, pages 98–123, 1919

P.A. Samuelson. Diagrammatic exposition of a theory of public expenditure. *The Review of Economics and Statistics*, 37(4):350–356, 1955

T.C. Bergstrom. When does majority rule supply public goods efficiently? *The Scandinavian Journal of Economics*, pages 216–226, 1979

James L. Barr and Otto A. Davis. An elementary political and economic theory of the expenditures of local governments. *Southern Economic Journal*, 33(2):pp. 149–165, 1966. ISSN 00384038

1.1 Private provision of public goods:

Theodore Bergstrom, Lawrence Blume, and Hal Varian. On the private provision of public goods. *Journal of public economics*, 29(1):25–49, 1986

James M Buchanan. An economic theory of clubs. *Economica*, 32(125):1–14, 1965

D. Epple and R.E. Romano. Ends against the middle: Determining public service provision when there are private alternatives. *Journal of Public Economics*, 62(3):297–325, 1996

John Morgan (2000), "Financing Public Goods by means of Lotteries", Review of Economic Studies, October, pp.761-784

Epple, D. and R.E. Romano, "Public Provision of Private Goods," Journal of Political Economy, v.104 (1), February 1996, 57–84.

2 Local public goods

2.1 Theory

C.M. Tiebout. A pure theory of local expenditures. *The Journal of Political Economy*, 64(5): 416–424, 1956

T.F. Bewley. A critique of tiebout's theory of local public expenditures. *Econometrica: Journal of the Econometric Society*, pages 713–740, 1981

Chapters 10-12, on Club Goods of R. Cornes and T. Sandler. The theory of externalities, public goods, and club goods. *Cambridge University Press*, 1996

D. Epple and A. Zelenitz. The implications of competition among jurisdictions: Does tiebout need politics? *The Journal of Political Economy*, pages 1197–1217, 1981

A.S. Kessler and C. Lülfesmann. Tiebout and redistribution in a model of residential and political choice. *Journal of Public Economics*, 89(2):501–528, 2005

2.2 Empirical Work

Bergstrom, T. C. and R. Goodman, "Private Demands for Public Goods," American Economic Review, 1973.

Bergstrom, T. C., D. Rubinfeld, and P. Shapiro, "Micro-based Estimates of Demand Functions for Local Public School Expenditures," Econometrica, Vol. 50, September 1982, 1185–1205.

W.E. Oates. The effects of property taxes and local public spending on property values: An empirical study of tax capitalization and the tiebout hypothesis. *The Journal of Political Economy*, 77(6): 957–971, 1969

Gramlich, E and Rubinfeld (1982): "Micro Estimates of Public Spending Demand Functions and

Tests of the Tiebout and Median-Voter Hypothesis," Journal of Political Economy, 536- 560.

Gyourko, Joseph and Joseph Tracy (1991): "The Structure of Local Public Finance and the Quality of Life", August, Journal of Political Economy, 774-806.

Epple, Dennis, and Holger Sieg, "Estimating Equilibrium Models of Local Jurisdictions," Journal of Political Economy, 1999, 107(4), 645-681.

S. Calabrese, D. Epple, T. Romer, and H. Sieg. Local public good provision: Voting, peer effects, and mobility. *Journal of Public Economics*, 90(6):959–981, 2006

Bayer, Patrick, Fernando Ferreira and Robert McMillan (2007) "A unified framework for measuring preferences for schools and neighborhoods", The Journal of Political Economy, Vol. 115, No. 4, August, 588-638.

Bayer, Patrick, and Robert McMillan (2008), Choice and Competition in Local Education Markets, revised version of NBER Working Paper 11802. `http://homes.chass.utoronto.ca/~mcmillan/comp_1may10.pdf`

Bayer, Patrick, Robert McMillan, and Kim Rueben (2008), An Equilibrium Model of Sorting in an Urban Housing Market, revised version of NBER Working Paper 10865. Available at `www.economics.utoronto.ca/mcmillan/methods.pdf`

P. Bayer, R. McMillan, A. Murphy, and C. Timmins. A dynamic model of demand for houses and neighborhoods. *Working paper*, 2011

3 Education reform

Angrist, Joshua and Jonathan Guryan (2004). Teacher Testing, Teacher Education, and Teacher Characteristics. American Economic Review 94:2, pp. 241-246.

Hanushek, Eric A. 2003. The Failure of Input-Based Schooling Policies, Economic Journal, 113(485): F64-F98.

Card, David and Alan Krueger. 1992. Does School Quality Matter? Returns to Education and the Characteristics of Public Schools in the United States, Journal of Political Economy, 100(1): 140.

Eric A. Hanushek. Conceptual and empirical issues in the estimation of educational production

functions. *Journal of Human Resources*, pages 351–388, 1979

Eric A. Hanushek. The economics of schooling: Production and efficiency in public schools. *Journal of Economic Literature*, 24(3):1141–1177, 1986. ISSN 0022-0515

Petra E. Todd and Kenneth I. Wolpin. On the specification and estimation of the production function for cognitive achievement. *The Economic Journal*, 113(485):F3–F33, 2003

Lazear, Edward P. (2001), Education Production, Quarterly Journal of Economics, August, 116(3): 777-803.

3.1 School choice

B.P. Gill. Rhetoric versus reality: What we know and what we need to know about vouchers and charter schools. (1118), 2001

Bergstrom, Roberts, Rubinfeld, and Shapiro, "A Test for Efficiency in the Supply of Public Education," Journal of Public Economics, 1988, Vol. 35, 289–307.

Hoxby, Caroline M. "The Productivity of Schools and Other Local Public Goods Producers," Journal of Pubic Economics, October 1999, 1-31.

Hoxby, Caroline M. "Does Competition Among Schools Benefit Students or Taxpayers?" American Economic Review, December 2000, 1209-1238.

Epple, D. and R.E. Romano, "Competition Between Private and Public Schools, Vouchers, and Peer-Group Effects," American Economic Review, v.88 (1), March 1998, 33–62.

Nirav Mehta. Competition in public school districts: Charter school entry, student sorting, and school input determination. *Working Paper*, 2016b

T. Nechyba, "Mobility, Targeting, and Private School Vouchers," American Economic Review, 90 (2000), 130-146.

D. Epple, R.E. Romano, and H. Sieg, "Admission, Tuition, and Financial Aid Policies in the Market for Higher Education," Econometrica, 74 (2006), 885-926.

E.P. Bettinger. The effect of charter schools on charter students and public schools. *Economics of Education Review*, 24(2):133–147, 2005. ISSN 0272-7757

R. Bifulco and H.F. Ladd. The impacts of charter schools on student achievement: Evidence from

north carolina. *Education Finance and Policy*, 1(1):50–90, 2006

R. Chakrabarti. Can increasing private school participation and monetary loss in a voucher program affect public school performance? evidence from milwaukee. *Journal of Public Economics*, 92(5-6): 1371–1393, 2008

J. B. Cullen, B. A. Jacob, and S. D. Levitt. The impact of school choice on student outcomes: An analysis of the chicago public schools. *Journal of Public Economics*, 89(5-6):729–760, 2005

J. B. Cullen, B. A. Jacob, and S. Levitt. The effect of school choice on participants: Evidence from randomized lotteries. *Econometrica*, 74(5):1191–1230, 2006

D. Epple, M.M. Ferreyra, and B.R. Gordon. Charter school entry in market equilibrium. working paper, 2011

Maria Marta Ferreyra. Estimating the effects of private school vouchers in multidistrict economies. *American Economic Review*, 97(3):789–817, 2007

P. Gleason, M. Clark, C.C. Tuttle, and E. Dwoyer. The evaluation of charter school impacts: Final report. ncee 2010-4029. *National Center for Education Evaluation and Regional Assistance*, 2010

E.A. Hanushek, J.F. Kain, S.G. Rivkin, and G.F. Branch. Charter school quality and parental decision making with school choice. *Journal of Public Economics*, 91(56):823 – 848, 2007. ISSN 0047-2727

Elizabeth M. Caucutt. Educational vouchers when there are peer group effects – size matters. *International Economic Review*, 43(1):195–222, 2002

Raquel Fernández and Richard Rogerson. Income distribution, communities, and the quality of public education. *The Quarterly Journal of Economics*, 111(1):135–164, 1996

R. Fernandez and R. Rogerson. Public education and income distribution: A dynamic quantitative evaluation of education-finance reform. *American Economic Review*, pages 813–833, 1998

Raquel Fernández and Richard Rogerson. Equity and resources: An analysis of education finance systems. *Journal of Political Economy*, 111(4):pp. 858–897, 2003. ISSN 00223808. URL `http://www.jstor.org/stable/10.1086/375381`

J. Rothstein. Good principals or good peers? parental valuation of school characteristics, tiebout equilibrium, and the effects of inter-district competition. *American Economic Review*, 96(4):1333–

1350, September 2006

3.1.1 School Assignment

Monique De Haan, Pieter A Gautier, Hessel Oosterbeek, and Bas Van der Klaauw. The performance of school assignment mechanisms in practice. *CEPR Discussion Paper No. 10656*, 2015

Caterina Calsamiglia, Chao Fu, and Maia Güell. Structural estimation of a model of school choices: Boston versus its alternatives. *Working Paper*, 2016

3.2 Teacher incentives

K. Muralidharan and V. Sundararaman. Teacher performance pay: Experimental evidence from india. 2009

Gadi Barlevy and Derek Neal. Pay for percentile. *American Economic Review*, 102(5):1805–31, 2012

S.A. Imberman and M.F. Lovenheim. Incentive strength and teacher productivity: Evidence from a group-based teacher incentive pay system. 2012

Nirav Mehta. Targeting the wrong teachers: Linking measurement with theory to evaluate teacher incentive schemes. *Working Paper*, 2016a

S.G. Rivkin, E.A. Hanushek, and J.F. Kain. Teachers, schools, and academic achievement. *Econometrica*, 73(2):417–458, 2005. ISSN 1468-0262

4 Health insurance and health care

4.1 Theory

Arrow, K., Uncertainty and the Welfare Economics of Medical Care, The American Economic Review, 53(5):941973, 1963.

Pauly, M. V., The Economics of Moral Hazard: Comment, The American Economic Review, 58(3):531537, 1968.

Arrow, K., The Economics of Moral Hazard: Further Comment, The American Economic Review, 58(3):537539, 1968.

Pauly, M. V., Overinsurance and Public Provision of Insurance: The Roles of Moral Hazard and Adverse Selection, The Quarterly Journal of Economics, pp. 4462, 1974.

George Akerlof (1970). "The Market for Lemons Quality Uncertainty and the Market Mechanism,"Quarterly Journal of Economics (August l970).

Michael Rothschild and Joseph Stiglitz (1976). "Equilibrium in Competitive Insurance Markets: An Essay on the Economics of Imperfect Information" Quarterly Journal of Economics, 90 (4), 629-650.

Hemenway, David (1990). "Propitious Selection." Quarterly Journal of Economics, Vol. 105, 1063-1069.

Michael Grossman. On the concept of health capital and the demand for health. *The Journal of Political Economy*, 80(2):223–255, 1972

4.2 Empirical work

4.2.1 Empirical tests for asymmetric information:

F Chiappori, Pierre-Andr and Bernard Salani (2000). "Testing for Asymmetric Information in Insurance Markets." Journal of Political Economy, Vol. 108, No. 1, 56-78.

Chiappori, Pierre-Andr, Bruno Jullien, Bernard Salani and Francois Salani (2006). "Asymmetric Information in Insurance: General Testable Implications." Rand Journal of Economics, Vol. 37, No. 4.

Cawley, John, and Thomas Philipson (1999). "An Empirical Examination of Information Barriers to Trade in Insurance."American Economic Review, 89(4): 827-846.

Fang, Hanming, Michael P. Keane and Dan Silverman (2008). "Sources of Advantageous Selection: Evidence from the Medigap Insurance Market."Journal of Political Economy, Vol. 116, No. 2, 303-350.

Cohen, Alma and Liran Einav (2007). "Estimating Risk Preferences from Deductible Choice."

American Economic Review, Vol. 97, No. 3, 745-788.

Patrick Bajari, Han Hong, Minjung Park, and Robert Town. Regression discontinuity designs with an endogenous forcing variable and an application to contracting in health care. Technical report, National Bureau of Economic Research, 2011

Patrick Bajari, Han Hong, and Ahmed Khwaja. Moral hazard, adverse selection and health expenditures: A semiparametric analysis. Technical report, National Bureau of Economic Research, 2006

4.2.2 Distinguishing Moral Hazard from Adverse Selection

J.H. Abbring, J.J. Heckman, P.A. Chiappori, and J. Pinquet. Adverse selection and moral hazard in insurance: Can dynamic data help to distinguish? *Journal of the European Economic Association*, 1(2-3):512–521, 2003. ISSN 1542-4766

4.2.3 Demand and Supply of Medical Care, Interacting with Health Insurance

W. Manning et al. (1987). "Health Insurance and the Demand for Medical Care: Evidence from a Randomized Experiment" American Economic Review, 77(3), 251-177.

Levy, H. and D. Meltzer, The Impact of Health Insurance on Health, Annual Review of Public Health, 29:399409, 2008.

Finkelstein, A., The Aggregate Effects of Health Insurance: Evidence from the Introduction of Medicare, The Quarterly Journal of Economics, pp. 137, 2007.

Finkelstein, A. and R. McKnight, What did Medicare do? The initial impact of Medicare on mortality and out of pocket medical spending, Journal of Public Economics, 92(7):16441668, 2008.

4.2.4 Health Insurance and Labor Market Outcomes

Madrian, Brigitte C. (1994). "Employment-Based Health Insurance and Job Mobility: Is There Evidence of Job Lock?" Quarterly Journal of Economics, Vol. 109, No. 1, 27-54.

Dey, M. and C. Flinn (2005). "An Equilibrium Model of Health Insurance Provision and Wage Determination." Econometrica 73, 571-627.

Policy on Academic Offences:

Scholastic offences are taken seriously and students are directed to read the appropriate policy, especifically, the definition of what constitutes a Scholastic Offence, at the following Web site: http://www.uwo.ca/univsec/pdf/academic_policies/appeals/scholastic_discipline_grad.pdf
Academic Handbook, Appeals, Scholastic Discipline for Graduate Students (2011, 06)

All required papers may be subject to submission for textual similarity review to the commercial plagiarism-detection software under license to the University for the detection of plagiarism. All papers submitted for such checking will be included as source documents in the reference database for the purpose of detecting plagiarism of papers subsequently submitted to the system. Use of the service is subject to the licensing agreement, currently between The University of Western Ontario and Turnitin.com (http://www.turnitin.com).

Statement on Mental Health:

If you or someone you know is experiencing distress, there are several resources here at Western to assist you. Please visit http://www.uwo.ca/uwocom/mentalhealth/ for more information on these resources and on mental health.